

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH &
BEYOND INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

DOCKET NO. 23-02

Served: December 6, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING RESPONDENTS' MOTION TO STRIKE THE VERIFICATION AND DISMISS THE COMPLAINT

On November 12, 2024, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively "OOCL") filed a motion to strike the verification and dismiss the first amended complaint ("Motion"). On November 27, 2024, Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. ("BBBY") filed its memorandum in opposition to the motion ("Opposition"). On December 4, 2024, Respondents filed a reply in support of the motion ("Reply"). For the reasons discussed below, the motion to strike the verification and dismiss the amended complaint is denied.

Respondents seek to strike the verification of David Kastin and dismiss the amended complaint, arguing that Kastin's verification is inadequate and should be stricken and that Complainant's deposition objections are improper and should be overruled because Kastin's personal knowledge is discoverable. Motion at 3-12; Reply at 2-11. Complainant asserts that Mr. Kastin's verification meets all applicable requirements and should not be stricken and Complainant did not waive the attorney-client privilege by having Mr. Kastin verify the first amended complaint. Opposition at 5-22.

Verification

There are two relevant Commission rules. The first sets out the requirements for filing private party complaints for formal adjudication and the second sets out the requirements for verification of documents.

§502.62 Private party complaints for formal adjudication.

(a) Filing a complaint for formal adjudication.

(1) A person may file a sworn complaint alleging violation of the Shipping Act of 1984, 46 U.S.C. 40101 et seq.

(2) Form. Complaints should be drafted in accordance with the rules in this section.

(3) Content of complaint. The complaint must be verified and must contain the following:

(i) The name, street address, and email address of each complainant, and the name, address, and email address of each complainant's attorney or representative, the name, address, and, if known, email address of each person against whom complaint is made;

(ii) A recitation of the legal authority and jurisdiction for institution of the proceeding, with specific designation of the statutory provisions alleged to have been violated;

(iii) A clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that the complainant is entitled to relief;

(iv) A request for the relief and other affirmative action sought; and

(v) Shipping Act violation must be alleged. If the complaint fails to indicate the sections of the Act alleged to have been violated or clearly to state facts which support the allegations, the Commission may, on its own initiative, require the complaint to be amended to supply such further particulars as it deems necessary.

46 C.F.R. § 502.62(b)(1)-(3).

§502.6 Verification of documents.

(a) If a party is represented by an attorney or other person qualified to practice before the Commission under the rules in this part, each pleading, document or other paper of such party filed with the Commission shall be signed by at least one person of record admitted to practice before the Commission in his or her individual name, whose address shall be stated. Except when otherwise specifically provided by rule or statute, such pleading, document or paper need not be verified or accompanied by affidavit. The signature of a person admitted or qualified to practice before the Commission constitutes a certificate by the signer that the signer has read the pleading, document or paper; that the signer is authorized to file it; that to the best of the signer's knowledge, information, and belief formed after reasonable inquiry, the filing is well grounded in fact and is warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law; and that it is not interposed for any

improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. For a willful violation of this section, a person admitted or qualified to practice before the Commission may be subjected to appropriate disciplinary action.

(b) If a party is not represented by a person admitted or qualified to practice before the Commission, each pleading, document or other paper of such party filed with the Commission shall be signed and verified under oath by the party or by a duly authorized officer or agent of the party, whose address and title shall be stated.

(c) Wherever, under any rules of this part, any matter is required or permitted to be supported, evidenced, established, or proved by the sworn declaration, verification, certificate, statement, oath, or affidavit, in writing of the person making the same (other than a deposition under § 502.143 or § 502.144), such matter may, with like force and effect, be supported, evidenced, established, or proved by the unsworn declaration, certificate, verification, or statement, in writing of such person which is subscribed by such person, as true under penalty of perjury, in substantially the following form:

(1) If executed without the United States: “I declare (or certify, verify, or state) under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.”

(2) If executed within the United States, its territories, possessions, or commonwealths: “I declare (or certify, verify, or state) under penalty of perjury that the foregoing is true and correct.”

46 C.F.R. § 502.6. This requirement is similar to 28 U.S.C. § 1746.

The verification of the amended complaint in this proceeding states:

I, David Kastin, am an authorized signatory of Complainant 20230930-DK-Butterfly-1, Inc. (formerly known as Bed Bath & Beyond Inc.), P.O. Box 1596, Union, New Jersey, 07083, email david.kastin@butterflywdd.com. I have read the foregoing Verified First Amended Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct.

Amended Complaint, Verification.

“Verification is the exception rather than the rule in federal civil practice” and “the trend in federal practice is away from ‘the all too barren formality of an oath to pleadings.’” § 1339 Verification, 5A Fed. Prac. & Proc. Civ. § 1339 (4th ed.) (quoting *Simplified Pleadings*, 2 F.R.D. 456, 463 (1942)). If a “federal rule or statute requires verification, a failure to comply may or may not render the document fatally defective or totally without effect, depending on the circumstances.” *Id.* (citing cases).

The person who signed the verification, David Kastin, joined BBBY in December 2022 as the Chief Legal Officer. Kastin Decl. ¶ 5. Following BBBY’s dissolution as part of entry into Chapter 7 bankruptcy in September 2023, Mr. Kastin became an independent consultant to Complainant’s bankruptcy plan administrator. *Id.* at ¶ 6. In such capacity, his duties are to provide legal advice to Complainant’s bankruptcy plan administrator in connection with the winddown of Complainant’s estate. *Id.* Mr. Kastin was not employed at BBBY at the time of the events that gave rise to this proceeding.

Initially, Respondents contend that facts in a verified complaint must be within the personal knowledge of the affiant and the affiant must be competent to testify. Motion at 4 (citations omitted). However, as Complaint points out, Respondents’ cases on this point discuss when a verification can be used to support a motion for summary judgement – and recognize that in some cases, the verification will not be based on personal knowledge. Opposition at 6-9.

The case of *U.S. v. 8 Gilcrease Lane, Quincy Fla 32351* is instructive. There, the DC District Court stated that “there are two statements that are essential to a proper verification under § 1746: (i) an assertion that the facts are true and correct; and (ii) an averment that the first assertion is made under penalty of perjury.” *United States v. 8 Gilcrease Lane, Quincy Fla. 32351*, 587 F. Supp. 2d 133, 139 (D.D.C. 2008). In addition, the court found that “a statement of verification only must be in ‘substantially’ the same form as the statement set forth in § 1746(2)” and “the inclusion of qualifying language in the Verification of the Complaint does not render the Verification deficient.” *Id.*

In their Reply, Respondents change their approach and assert that the verification is false and must be stricken. Reply at 2. The argument is that because Mr. Kastin does not have personal knowledge of the facts underlying the first amended complaint, that this statement was improper: “[I] believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct.” Amended Complaint, Verification.

The parties have not provided any Commission case law identifying the purpose of verification or consequences of a defective verification. Moreover, in this unusual case where the Complainant is in bankruptcy and there are no current employees, it is not clear who else would be the appropriate person to verify the amended complaint. The verification explicitly states that it is based on “information received from others.” Indeed, given the size and complexity of many Commission proceedings, it is unlikely that any one individual will have personal knowledge of all of the facts provided in pleadings.

Moreover, Mr. Kastin’s deposition was conducted on October 15, 2024, and Respondents waited almost a month to file their motion, waiting until after the November 10, 2024, close of discovery. At this stage of the proceeding, discovery, including 31 depositions and the exchange of hundreds of thousands of pages of discovery, has been completed. Briefing on the merits is about to begin. The requested remedy of dismissal would be extreme and is not clearly required by Commission or federal caselaw.

Deposition

Respondents also contend that Complainant's deposition objections were improper and should be overruled, arguing that Mr. Kastin's personal knowledge is discoverable and that by "offering Mr. Kastin's verification, Complainant put Mr. Kastin's personal knowledge directly in issue in this case." Motion at 9-12. In reply, Respondents contend that Mr. Kastin placed his personal knowledge in issue, waiving any putative attorney-client privilege and Complainant has not shouldered its burden to demonstrate the existence of the attorney-client privilege. Reply at 8-11.

Complainant asserts that it did not waive the attorney-client privilege by having Mr. Kastin verify the first amended complaint; Respondents have failed to identify the allegedly problematic objections and the questions that went unanswered; Mr. Kastin cannot have waived privilege regarding his personal knowledge of the complaint because he repeatedly stated that he had none; Mr. Kastin and Complainant's counsel had adequate grounds to claim privilege; and Complaint is not withholding any information to which Respondents are entitled. Opposition at 13-20.

Again, the cases cited by Respondents do not support the argument they are making. In their motion, Respondents state:

When an attorney prepares an affidavit making factual assertions, he "cannot foreclose discovery of the factual basis for his factual representations in the affidavit any more than he could take the witness stand and testify on direct examination to the factual matters set forth in his affidavit, and then preclude cross-examination by invoking attorney-client privilege." *Computer Network Corp. v. Spohler*, 95 R.F.D. 500, 502 (D.C. Cir. 1982).

Motion at 11. This quote is reiterated in Respondents' reply, which states:

When an attorney verifies a complaint, and the verification specifically references the declarant's factual knowledge, the attorney "cannot foreclose discovery of the factual basis for his factual representations in the affidavit any more than he could take the witness stand and testify on direct examination to the factual matters set forth in his affidavit, and then preclude cross-examination by invoking attorney-client privilege." *Computer Network Corp. v. Spohler*, 95 F.R.D. 500, 502 (D.C. Cir. 1982).

Reply at 8-9.

Respondents claim that this quote refers to when "an attorney verifies a complaint," which it does not; it refers to an affidavit which "purported to speak to the merits" of securities law litigation, submitted as part of an opposition to a motion for expedited discovery. *Computer Network Corp. v. Spohler*, 95 F.R.D. at 501. Respondents twice leave out the sentence earlier in the same paragraph that distinguishes the case from this proceeding. The full quote says:

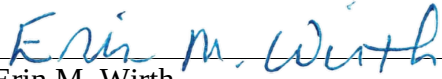
Submitting the affidavit was *far different than a lawyer filing an answer to a complaint* or a memorandum of points and authorities in which he weaves in factual representations with legal arguments. Here Mr. Schott was being a factual witness concerning fact issues which goes to the heart of this legal controversy. He cannot foreclose discovery of the factual basis for his factual representations in the affidavit anymore than he could take the witness stand and testify on direct examination to the factual matters set forth in his affidavit, and then preclude cross-examination by invoking the attorney-client privilege.

Id. at 502 (emphasis added).

The cases cited by Respondents do not apply to individuals who have verified a complaint and are not applicable to the facts here. Respondents are expected to read the entire case which they cite and are cautioned against taking quotations from cases out of context. Respondents have not provided legal support for their contention that verifying a complaint in Commission proceedings waives the attorney-client privilege. Additionally, Respondents were given the opportunity at the deposition to re-phrase their questions to avoid attorney-client privilege issues. Furthermore, Mr. Kastin was not employed by BBY at the time of the events in this case and other witnesses were made available to testify to the facts. There is no basis to reopen discovery and no basis to strike the complaint or dismiss the proceeding. Accordingly, Respondents' motion is denied.

It is noted that Respondents' motion is labeled as confidential but no motion for confidential treatment was received. The Office of the Secretary is asked to keep the filing confidential until they can confirm whether or not confidentiality is sought. If it is, a motion for confidential treatment should be filed expeditiously.

For the reasons identified above, it is hereby **ORDERED** that Respondents' motion to strike the verification and dismiss the amended complaint be **DENIED**.


Erin M. Wirth
Chief Administrative Law Judge